

Income Tax Overview (FY 2025-26)

Income tax is a direct tax imposed by the Government on the income earned by individuals and businesses. The amount of tax payable depends on the taxpayer's income level and the applicable tax slab. The new tax regime offers simplified tax rates with reduced deductions and exemptions.

Annual Income Range	Tax Rate
Up to ₹4,00,000	Nil
₹4,00,001 – ₹8,00,000	5%
₹8,00,001 – ₹12,00,000	10%
₹12,00,001 – ₹16,00,000	15%
₹16,00,001 – ₹20,00,000	20%
₹20,00,001 – ₹24,00,000	25%
Above ₹24,00,000	30%

Key Features of the New Tax Regime

- Simplified tax slab structure.
- Lower tax rates for many income groups.
- Reduced paperwork and easier filing process.
- Standard deduction benefits available for salaried employees.
- Encourages transparent and digital tax filing.

Important Tax Saving Tips

- File your Income Tax Return (ITR) before the due date.
- Maintain records of salary slips, bank statements, and investments.
- Compare old and new tax regimes before filing returns.
- Use online tax portals for faster processing and refunds.

Disclaimer: This document is for informational purposes only and provides a simplified overview of income tax slabs. Tax rules may change based on government updates and individual financial conditions.